D04 · Contract Management & Negotiation

01 · Negotiation strategy & tactics

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1 WHAT IT IS

Negotiation strategy & tactics is the discipline of preparing before negotiating — BATNA (Best Alternative to a Negotiated Agreement) analysis, supplier cost-structure modeling, stakeholder mapping on both sides of the table, sequencing of issues, and the principle of getting to value rather than to victory. It is what separates the buyer who closes a good deal from the buyer who declares one.

2 WHY IT MATTERS

Most procurement negotiations are won or lost in preparation, not at the table. **The supplier walks in knowing their cost structure, their alternatives, their stakeholders, and their concession ladder; many buyers walk in knowing the target price and hoping the supplier will accept it**. The foundational reference work makes the asymmetry visible **(Fisher, Ury & Patton, 1991 — Getting to Yes, principled negotiation framework)**: **negotiation outcome is overwhelmingly determined by BATNA strength and information asymmetry, not by tactics**. The buyer with a credible alternative and a should-cost model captures structurally better outcomes than the buyer relying on hardball tactics from a position of weakness. The plants that invest in preparation buy back the leverage that tactics cannot create.

3 HOW IT IS DONE

1. **Establish BATNA before opening the negotiation — and make it credible.** The BATNA is the alternative you actually walk to if the deal does not close. Without a credible BATNA the negotiation is not a negotiation; it is a request for permission. Develop the BATNA in parallel with the primary track (qualified alternative suppliers, internal make options, scope reductions) before the negotiation begins.
2. **Build the should-cost model — and validate it with engineering and finance.** The should-cost decomposes the supplier's price into material, conversion, overhead, and margin. It transforms negotiation from "your price seems high" to "your conversion cost is 22% above benchmark." That shift in conversation foundation is the leverage; without should-cost the buyer is arguing percentages and the supplier is defending positions.
3. **Map the negotiation table — stakeholders, interests, decision authority.** Who on the supplier side has authority to concede? Who needs to be convinced internally? What internal pressure (quarter close, capacity utilization, strategic customer count) creates supplier urgency? The map is the operational intelligence; without it the buyer negotiates with the wrong people about the wrong issues.
4. **Sequence the issues — and never negotiate price in isolation.** Price negotiated alone produces price concessions in exchange for nothing; price negotiated as part of a bundle (volume, payment terms, lead time, exclusivity, warranty) produces concessions across the bundle that compound. The discipline is package thinking — every concession requested is paired with a counter-concession offered.
5. **Open with calibrated questions, not with positions.** The buyer who opens with "we need 12% reduction" defines the conversation in a way the supplier can immediately resist. The buyer who opens with "help me understand the basis of the 7% increase" forces the supplier to provide information that becomes the leverage. The first hour of any negotiation is information-gathering disguised as preliminary discussion.
6. **Document the outcome systematically — and capture the negotiation learning for the next one.** What concessions were available that you did not get? What did the supplier resist most? What did you concede that you should have held? The after-action review is what builds institutional negotiation capability over time; without it, every negotiation starts at zero.

WORKED EXAMPLE — ILLUSTRATIVE

A consumer electronics OEM faces a **9.4% price increase request from a sole-source connector supplier** ($14.2M annual spend) citing raw material cost increases. The procurement preparation: **(1) BATNA development** — qualify two alternative suppliers (12-week qualification timeline), engineering exploration of design alternatives that would eliminate the unique requirements, finance review of strategic stock build to bridge supplier transition; **(2) should-cost build** — material cost decomposition shows true raw material exposure is 4.1%, not the 9.4% claimed; conversion cost shows supplier margin has actually expanded; **(3) supplier intelligence** — supplier's earnings call reveals they are losing two other customers and have excess capacity; **(4) sequenced negotiation** over 3 sessions: session 1 information exchange on should-cost (buyer reveals the model, asks for supplier validation); session 2 alternatives discussion (buyer indicates qualification timeline of alternates as fact); session 3 settlement — final outcome: **price increase capped at 3.8% (vs. requested 9.4%), 90-day payment terms extended to 120 days, joint cost-reduction roadmap committed for $1.2M over 18 months, multi-year volume commitment in exchange**. The supplier captured strategic relationship security; the buyer captured $4.6M of cost avoidance vs. the original request — most of it from the BATNA development that made the supplier take the negotiation seriously, not from negotiation tactics at the table.

IN PRACTICE

Establish credible BATNA before opening

A BATNA that exists only in the negotiator's head is not a BATNA — it is wishful thinking. The alternative must be specific, costed, and validated: an alternate supplier qualified through real engagement, a make option with a real cost model, an extend-status-quo option with quantified consequence. Without that, the buyer's leverage is the supplier's perception of it.

Walk in with a should-cost model, not a target

A target price says where the buyer wants to land; a should-cost model says what the work actually costs to deliver. The supplier can dismiss the target as aspiration but cannot dismiss the cost model without showing their hand. Should-cost converts the conversation from "your number vs. mine" into "the math vs. the math" — and the buyer who brought the math controls it.

Map stakeholders and interests on both sides

The person across the table is one node in a network of internal stakeholders — their sales VP, their plant manager, their CFO, their commission structure. A concession that helps the salesperson hit quota is a different concession than one that solves the plant manager's capacity problem. Negotiating to the person in the room misses the structure of incentives that decides the answer.

Run an after-action review before the file closes

What the supplier conceded first, what triggered the move, what concession language they used, where they held firm — write it down within 48 hours, while it is still fresh. The next negotiator inherits an organized record of the supplier's revealed behavior or a clean slate; one of those is structurally more valuable than the other.

WHAT YOU WOULD USE

NEGOTIATION PREPARATION / SHOULD-COST TOOLS

aPriori, Calcura, Costimator (should-cost) — Bottom-up cost modeling platforms that produce the should-cost foundation for any structured negotiation — strongest for engineered components and manufactured parts **(aPriori — vendor)**.

Market intelligence services (Bloomberg, Refinitiv, IHS Markit) — Real-time commodity indices, capacity outlooks, and supplier financial intelligence — the external context that informs BATNA development and negotiation timing **(Bloomberg — vendor; Refinitiv — vendor)**.

Negotiation training programs (Harvard PON, Karrass, Scotwork) — Structured training in principled negotiation, advanced tactics, and category-specific scenarios — capability investment in the procurement organization itself **(Scotwork — vendor; Karrass — vendor)**.

Structured negotiation preparation template + after-action review — The discipline matters more than the platform — a structured template covering BATNA, should-cost, stakeholder map, issue sequencing, and concession ladder, used consistently across all material negotiations.

4 SO WHAT

The buyer who arrives without a BATNA is the buyer the supplier educates. Establish credible BATNA before opening, build the should-cost model validated by engineering and finance, map stakeholders and interests, sequence issues into bundles, open with calibrated questions not positions, and document the after-action learning. The plants that invest in preparation buy structural leverage; the plants that rely on tactics from a weak position concede the same ground repeatedly.

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